APPRAISAL REPORT

Pinecrest Office Center | Tempe, AZ

Subject Property	Pinecrest Office Center
Address	4470 Highland Street, Tempe, AZ 15032
Property Rights Appraised	Fee Simple
Effective Date of Value	November 4, 2019
Market Value Conclusion	$31,430,000

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Pinecrest Office Center is located in Tempe, AZ, a market that has recorded 2.5% population growth over the last five years. Market vacancy for comparable Office product stands at 7.2%, down from 7.4% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 5.9% annually over the past 3 years.

Employment growth is led by healthcare, logistics, education and professional services sectors. The Tempe Office market has experienced absorption of 4600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 7.4% annually over the past 9 years. Median household income within a 1-mile radius of the property is approximately $343,000 and has grown 5.2% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Topography and Flood Zone

Access to the site is provided by 9 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

The site contains approximately 17.17 acres and is generally level with frontage along Highland Street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Submarket Analysis

The Tempe Office market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Office product stands at 13.2%, down from 3.7% two years ago. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 6.58% and 6.58%. Employment growth is led by healthcare, logistics, education and professional services sectors.

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Market Overview

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 7.58% and 7.58%. Market vacancy for comparable Office product stands at 10.5%, down from 4.9% two years ago. Weighted average lease term remaining is 11 years and in-place rents average $39 per square foot, full service gross. Employment growth is led by healthcare, logistics, education and professional services sectors.

Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 6.57% and 6.57%. Market vacancy for comparable Office product stands at 9.7%, down from 7.5% two years ago. Median household income within a 6-mile radius of the property is approximately $324,000 and has grown 6.7% annually. The Tempe Office market has experienced absorption of 3200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 26.26 acres and is generally level with frontage along Highland Street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 9 curb cuts and the property is served by municipal water and sanitary sewer.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Submarket Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The Tempe Office market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Weighted average lease term remaining is 9 years and in-place rents average $39 per square foot, full service gross. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 7.72% and 7.72%.

Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 46 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 6 years and in-place rents average $39 per square foot, full service gross. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 6.13% and 6.13%. Rent growth in the submarket has averaged 7.8% annually over the past 4 years.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 44 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 9.9 acres and is generally level with frontage along Highland Street.

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Improvements Description

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The roof is a 11-year membrane system with an estimated remaining useful life of 8 years. Weighted average lease term remaining is 6 years and in-place rents average $39 per square foot, full service gross. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Weighted average lease term remaining is 12 years and in-place rents average $39 per square foot, full service gross. Common area interiors have been refreshed within the last 11 years and are in average to good condition. The roof is a 4-year membrane system with an estimated remaining useful life of 8 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Improvements Description

The roof is a 7-year membrane system with an estimated remaining useful life of 11 years. Pinecrest Office Center was originally constructed in 2009 and consists of 92,997 SF in a building of 30 stories. Weighted average lease term remaining is 11 years and in-place rents average $39 per square foot, full service gross. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Floor plates are efficient and column-spacing supports open and private-office layouts. Mechanical systems include rooftop package units and central plant equipment of varying age.

The roof is a 45-year membrane system with an estimated remaining useful life of 5 years. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Pinecrest Office Center was originally constructed in 2009 and consists of 92,997 SF in a building of 16 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Construction Details

Pinecrest Office Center was originally constructed in 2009 and consists of 92,997 SF in a building of 44 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 36-year membrane system with an estimated remaining useful life of 10 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Floor plates are efficient and column-spacing supports open and private-office layouts. The roof is a 45-year membrane system with an estimated remaining useful life of 9 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Weighted average lease term remaining is 7 years and in-place rents average $39 per square foot, full service gross.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or S	Cap Rate	Yr Built
Crestline Office Center	Buffalo, NY	07/29/2023	13	$22,281,055	$240	5.61%	2023
Onyx Office Park	Dallas, TX	11/21/2023	7	$28,647,613	$308	6.90%	2009
Dover Tower	Nashville, TN	04/29/2024	6	$32,547,268	$350	5.80%	2009
Heritage Tower	Atlanta, GA	12/24/2023	11	$23,391,175	$252	6.80%	2016
Eastlake Office Park	Newark, NJ	08/30/2026	6	$22,520,852	$242	5.03%	1972
Brookside Plaza	Charlotte, NC	01/18/2022	5	$34,277,959	$369	6.97%	2022
Prairie Tower	St. Louis, MO	09/06/2024	13	$22,641,493	$243	6.33%	1980
Summit Corporate Center	Austin, TX	05/24/2026	12	$40,806,838	$439	6.01%	2000
Prairie Office Center	Nashville, TN	06/11/2024	10	$17,411,383	$187	6.94%	2004
Nautilus Corporate Center	Tampa, FL	12/09/2024	7	$31,929,438	$343	7.59%	2011
Riverbend Corporate Center	Greenville, SC	09/02/2024	9	$29,877,646	$321	5.89%	2019
Ridgeline Corporate Center	St. Louis, MO	06/06/2025	5	$15,580,520	$168	7.50%	1986
Alder Office Center	Des Moines, IA	09/10/2025	6	$17,804,542	$191	6.03%	1975
Birchwood Office Park	Allentown, PA	02/10/2025	6	$20,835,448	$224	6.73%	2000
Heritage Office Center	Grand Rapids, MI	04/19/2022	7	$20,135,232	$217	7.09%	1970
Ironwood Corporate Center	Boise, ID	05/04/2023	7	$23,278,048	$250	6.68%	2016
Juniper Corporate Center	Cleveland, OH	12/15/2022	6	$38,643,480	$416	7.21%	1977
Newport Office Park	Chicago, IL	03/09/2023	11	$17,663,890	$190	7.35%	2012
Mesa Office Center	Cincinnati, OH	08/27/2026	7	$38,234,500	$411	6.24%	1993
Whitaker Office Center	Phoenix, AZ	03/01/2024	13	$21,291,307	$229	5.38%	1973
Alder Corporate Center	Richmond, VA	11/15/2024	11	$31,114,388	$335	5.17%	1985
Everett Office Park	Cleveland, OH	08/08/2023	8	$21,096,712	$227	5.45%	2001
Union Corporate Center	San Antonio, TX	08/16/2026	11	$18,347,657	$197	7.28%	1994
Summit Tower	Philadelphia, PA	03/06/2024	12	$25,468,426	$274	6.33%	2015
Bayview Office Park	Kansas City, MO	08/11/2026	8	$31,065,574	$334	5.06%	2005
Highland Office Center	Dallas, TX	03/31/2024	9	$15,860,908	$171	7.60%	1986
Marlow Corporate Center	St. Louis, MO	01/06/2024	8	$19,392,825	$209	6.62%	1994
Ironwood Plaza	Indianapolis, IN	10/28/2025	10	$43,455,192	$467	7.02%	2001
Kingsley Tower	Salt Lake City,	11/01/2025	9	$18,024,150	$194	6.26%	2016
Nautilus Office Park	Seattle, WA	10/28/2022	7	$15,904,746	$171	7.74%	2022
Quarry Tower	Sacramento, CA	02/15/2022	9	$37,141,190	$399	7.40%	2006
Gatewood Office Center	Des Moines, IA	09/22/2023	13	$15,836,517	$170	7.95%	1971
Saddlebrook Tower	Aurora, CO	10/13/2022	6	$19,316,872	$208	6.32%	1988
Canyon Office Center	Louisville, KY	02/08/2026	10	$16,960,937	$182	6.45%	1972
Sterling Office Center	Portland, OR	08/08/2026	8	$39,837,900	$428	7.22%	2015
Thornton Tower	Salt Lake City,	05/30/2023	13	$20,348,825	$219	7.33%	2006
Lakeshore Plaza	Norfolk, VA	03/03/2025	9	$16,935,922	$182	8.02%	1969
Elmhurst Plaza	Buffalo, NY	04/17/2026	6	$33,537,144	$361	6.20%	1991
Highland Tower	Charlotte, NC	03/18/2023	7	$40,251,523	$433	8.11%	1973
Yarrow Office Park	Milwaukee, WI	07/25/2024	13	$33,656,394	$362	5.35%	1975
Garnet Tower	Savannah, GA	10/11/2024	9	$40,022,357	$430	7.02%	1966

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Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.70x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 9 years and in-place rents average $39 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts.

The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $256,000, representing a 6.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses.

Operating Performance

The building features a renovated lobby, structured parking at a ratio of 43 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Weighted average lease term remaining is 9 years and in-place rents average $39 per square foot, full service gross. Debt service coverage ratio was 6.06x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $292,000, representing a 12.0% increase over the prior year.

Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.68x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Effective gross income for the trailing period was $171,000, representing a 12.4% increase over the prior year.

Income and Expense Review

Weighted average lease term remaining is 4 years and in-place rents average $39 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. The going-in capitalization rate of 6.30% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $299,000, representing a 4.8% increase over the prior year. Operating expenses totaled $149,000 or approximately 15.52 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $117,000 or approximately 21.32 per square foot, with real estate taxes representing the largest line item. The building features a renovated lobby, structured parking at a ratio of 19 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $193,000, representing a 8.9% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Hollis Office Center	3.0 mi	2022	Studio	$36.24	97.4%	None
Indigo Office Park	1.3 mi	2000	Unit	$41.13	89.5%	1 mo. free
Ivy Plaza	3.1 mi	2001	2BR	$45.54	94.4%	None
Redwood Tower	4.1 mi	1970	Suite	$34.21	90.6%	$500
Fairmont Office Center	2.1 mi	1971	1BR	$34.95	89.9%	$500
Copper Office Park	0.2 mi	1993	2BR	$39.36	92.2%	None
Jasper Tower	2.9 mi	2008	Inline	$46.63	96.4%	None
Everett Corporate Center	3.2 mi	2020	1BR	$41.35	97.3%	$500
Laurel Tower	1.7 mi	1981	1BR	$36.89	95.4%	1 mo. free
Marlow Plaza	2.8 mi	2006	1BR	$34.31	94.5%	$500
Beacon Plaza	2.7 mi	2008	1BR	$42.47	89.3%	None
Glenview Office Park	0.9 mi	1981	Bay	$41.92	87.6%	1 mo. free
Brookside Corporate Center	1.5 mi	1993	Studio	$39.19	89.1%	None
Garnet Office Park	0.7 mi	2019	Bay	$35.03	90.7%	$500
Lantern Tower	3.6 mi	1974	1BR	$38.84	95.4%	None
Northgate Plaza	2.3 mi	2014	Inline	$46.43	95.2%	1 mo. free
Nautilus Tower	1.8 mi	1983	2BR	$35.58	93.2%	1 mo. free
Granite Corporate Center	4.9 mi	1983	Suite	$33.98	93.3%	$500
Lockwood Tower	3.6 mi	2010	Studio	$43.41	87.7%	1 mo. free
Valley Plaza	0.5 mi	2018	Studio	$46.54	91.8%	None
Oakmont Corporate Center	4.8 mi	2007	Suite	$44.62	87.4%	1 mo. free
Wexford Plaza	4.9 mi	1977	Studio	$44.35	88.1%	$500
Thornton Corporate Center	0.6 mi	2017	2BR	$37.20	92.0%	None
Ashford Corporate Center	0.7 mi	1996	Suite	$37.65	89.7%	None
Northgate Office Park	4.0 mi	2021	Unit	$40.38	89.8%	None
Whitaker Corporate Center	1.8 mi	2005	Suite	$44.93	95.9%	None
Vista Plaza	3.5 mi	2020	Studio	$42.49	94.1%	$500
Bayview Plaza	0.8 mi	1993	2BR	$44.59	90.1%	None
Prairie Plaza	4.4 mi	1992	Studio	$40.15	93.9%	$500
Dover Corporate Center	1.1 mi	1993	Studio	$33.84	89.2%	None
Redwood Office Center	3.7 mi	2002	Inline	$34.68	96.8%	None
Amberly Plaza	1.7 mi	2001	1BR	$45.09	91.5%	1 mo. free
Saddlebrook Tower	1.2 mi	1990	Bay	$46.36	86.4%	None
Vista Plaza	0.8 mi	1971	2BR	$35.50	89.4%	None
Cypress Tower	1.0 mi	2004	Unit	$38.57	92.2%	None
Redwood Plaza	0.3 mi	1979	Unit	$42.46	89.7%	$500
Willow Plaza	4.3 mi	2001	Inline	$41.86	95.3%	None
Ridgeline Office Park	1.7 mi	1973	Bay	$37.66	93.2%	$500
Wexford Corporate Center	3.0 mi	1989	Suite	$38.30	87.2%	1 mo. free
Magnolia Corporate Center	3.8 mi	1970	Bay	$40.67	88.0%	1 mo. free

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Submarket Analysis

Median household income within a 3-mile radius of the property is approximately $111,000 and has grown 8.1% annually. Rent growth in the submarket has averaged 4.5% annually over the past 10 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Office product stands at 10.8%, down from 4.8% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 7.56% and 7.56%. The Tempe Office market has experienced absorption of 800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 4 years and in-place rents average $39 per square foot, full service gross.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 12 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 40.40 acres and is generally level with frontage along Highland Street. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site contains approximately 5.5 acres and is generally level with frontage along Highland Street. Access to the site is provided by 19 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Demographics and Employment

Weighted average lease term remaining is 11 years and in-place rents average $39 per square foot, full service gross. Median household income within a 8-mile radius of the property is approximately $254,000 and has grown 4.6% annually. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 6.84% and 6.84%. The Tempe Office market has experienced absorption of 1700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Office product stands at 9.1%, down from 5.3% two years ago.

Rent growth in the submarket has averaged 4.6% annually over the past 9 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 7.24% and 7.24%. Market vacancy for comparable Office product stands at 7.9%, down from 3.1% two years ago. Pinecrest Office Center is located in Tempe, AZ, a market that has recorded 4.0% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

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Construction Details

Common area interiors have been refreshed within the last 12 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The roof is a 8-year membrane system with an estimated remaining useful life of 12 years.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Common area interiors have been refreshed within the last 10 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Construction Details

Floor plates are efficient and column-spacing supports open and private-office layouts. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 5 years and in-place rents average $39 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Building Systems

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Common area interiors have been refreshed within the last 7 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 29-year membrane system with an estimated remaining useful life of 5 years.

Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 18-year membrane system with an estimated remaining useful life of 10 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Common area interiors have been refreshed within the last 10 years and are in average to good condition.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or S	Cap Rate	Yr Built
Stonebridge Office Center	Seattle, WA	10/13/2024	7	$24,460,864	$263	5.01%	1999
Verde Office Park	Newark, NJ	07/14/2022	7	$35,389,792	$381	7.74%	2014
Fairmont Plaza	Newark, NJ	05/23/2026	9	$20,261,747	$218	7.58%	1973
Pelican Corporate Center	Boise, ID	02/16/2022	5	$22,303,805	$240	7.09%	2004
Dunmore Tower	Richmond, VA	02/13/2023	11	$34,612,708	$372	7.05%	1977
Yarrow Tower	Des Moines, IA	03/12/2025	12	$14,052,756	$151	6.27%	2018
Lockwood Tower	Dallas, TX	07/09/2023	6	$19,140,669	$206	7.39%	1998
Gatewood Office Center	Albuquerque, NM	02/09/2026	7	$33,095,482	$356	5.62%	1978
Kingsley Plaza	Las Vegas, NV	02/08/2025	5	$37,648,751	$405	6.17%	2019
Thornton Office Center	Richmond, VA	04/04/2026	13	$19,897,495	$214	6.76%	1975
Eastlake Office Center	Boise, ID	09/17/2025	13	$30,079,346	$323	6.38%	2003
Vista Corporate Center	Houston, TX	08/15/2023	8	$32,592,707	$350	6.29%	2007
Valley Corporate Center	Kansas City, MO	10/20/2023	10	$14,000,380	$151	5.13%	2011
Lockwood Office Center	Jacksonville, FL	11/09/2022	7	$39,466,405	$424	5.49%	2008
Bayview Corporate Center	Norfolk, VA	09/02/2025	7	$22,667,743	$244	7.77%	1975
Quarry Office Center	Naperville, IL	05/23/2023	12	$43,082,269	$463	5.79%	1990
Redwood Tower	Nashville, TN	05/29/2026	12	$37,734,433	$406	5.56%	2003
Eastlake Plaza	Naperville, IL	09/16/2022	9	$23,449,629	$252	5.91%	1986
Orchard Tower	Albany, NY	01/16/2022	13	$17,699,361	$190	6.59%	1983
Crestline Tower	Phoenix, AZ	02/14/2022	11	$13,795,552	$148	6.46%	1970
Cobalt Plaza	Jacksonville, FL	09/04/2024	11	$27,609,731	$297	6.69%	1973
Copper Corporate Center	Milwaukee, WI	12/01/2023	13	$42,544,418	$457	5.48%	2015
Garnet Office Park	Buffalo, NY	06/20/2025	8	$39,257,774	$422	7.39%	2023
Union Office Park	Boston, MA	04/17/2023	7	$39,140,333	$421	5.39%	1995
Ironwood Plaza	Greenville, SC	03/22/2024	5	$33,135,449	$356	6.47%	2014
Union Corporate Center	Naperville, IL	01/22/2025	8	$26,695,789	$287	8.14%	1981
Granite Plaza	Philadelphia, PA	08/13/2025	13	$43,525,875	$468	7.34%	1968
Canyon Corporate Center	Pittsburgh, PA	02/25/2022	10	$36,034,803	$387	5.62%	2021
Oakmont Corporate Center	Philadelphia, PA	12/26/2023	9	$20,411,037	$219	5.68%	1976
Nautilus Corporate Center	Aurora, CO	03/21/2025	10	$39,912,180	$429	6.67%	2001
Fairmont Office Center	Boise, ID	10/25/2022	9	$35,142,192	$378	6.83%	2013
Highland Office Park	Richmond, VA	11/28/2025	5	$29,200,536	$314	8.20%	1999
Copper Plaza	Columbus, OH	05/15/2023	10	$15,732,852	$169	5.53%	1977
Pinecrest Office Center	Las Vegas, NV	08/07/2025	9	$33,027,927	$355	6.06%	2004
Orchard Tower	Portland, OR	01/12/2023	11	$13,495,092	$145	7.08%	2015
Parkview Office Center	Charlotte, NC	04/05/2022	11	$18,518,332	$199	5.01%	1965
Glenview Tower	Seattle, WA	01/16/2023	8	$36,526,676	$393	7.41%	1979
Ironwood Plaza	Birmingham, AL	08/08/2025	11	$27,441,779	$295	6.46%	2018
Jasper Office Center	Boston, MA	09/08/2025	10	$23,196,222	$249	6.78%	1999
Dunmore Plaza	Seattle, WA	11/18/2022	13	$35,060,006	$377	7.36%	1996
Summit Tower	Salt Lake City,	07/24/2026	12	$37,270,781	$401	6.60%	1979
Indigo Office Center	Pittsburgh, PA	07/09/2022	13	$30,246,090	$325	5.70%	2011

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Valuation Discussion

The going-in capitalization rate of 7.31% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $224,000, representing a 4.6% increase over the prior year.

The going-in capitalization rate of 6.24% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 5 years and in-place rents average $39 per square foot, full service gross. Operating expenses totaled $450,000 or approximately 11.78 per square foot, with real estate taxes representing the largest line item.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 45 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 7.02x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $39,000, representing a 2.9% increase over the prior year. Operating expenses totaled $9,000 or approximately 19.82 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts.

Weighted average lease term remaining is 9 years and in-place rents average $39 per square foot, full service gross. Effective gross income for the trailing period was $324,000, representing a 13.1% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Debt service coverage ratio was 6.28x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Financial Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $480,000 or approximately 21.14 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 4 years and in-place rents average $39 per square foot, full service gross. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $304,000, representing a 12.5% increase over the prior year.

The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Effective gross income for the trailing period was $145,000, representing a 10.8% increase over the prior year. The going-in capitalization rate of 7.38% reflects the in-place income and the stabilized occupancy assumption.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Verde Tower	2.6 mi	2004	1BR	$44.59	93.5%	None
Cedar Plaza	3.3 mi	1987	Suite	$37.43	88.4%	None
Willow Office Park	4.4 mi	1984	Unit	$34.54	95.8%	None
Parkview Plaza	1.2 mi	1985	Bay	$40.00	87.6%	None
Driftwood Plaza	4.6 mi	2009	Unit	$35.41	96.7%	$500
Quincy Office Park	1.8 mi	2010	Unit	$37.95	95.9%	None
Windmill Office Park	4.4 mi	2001	1BR	$34.15	90.8%	$500
Birchwood Office Park	4.1 mi	2001	1BR	$41.90	91.1%	1 mo. free
Highland Office Center	4.0 mi	2022	Suite	$39.29	91.8%	None
Hollis Tower	1.6 mi	2014	2BR	$44.11	89.2%	1 mo. free
Nautilus Office Park	3.3 mi	1983	Studio	$42.57	89.8%	None
Hollis Office Park	1.4 mi	1989	Inline	$45.10	96.5%	1 mo. free
Lakeshore Corporate Center	1.0 mi	2015	Suite	$40.19	89.8%	$500
Sterling Office Center	0.8 mi	2023	Inline	$46.02	93.0%	$500
Vista Office Center	0.3 mi	1990	Studio	$36.57	92.3%	None
Magnolia Plaza	0.8 mi	1990	Studio	$37.75	91.5%	None
Dunmore Office Center	1.5 mi	1972	Bay	$43.80	90.8%	$500
Orchard Plaza	3.1 mi	1989	Bay	$45.22	90.3%	1 mo. free
Dover Office Center	3.8 mi	2021	Bay	$46.30	97.9%	None
Windmill Corporate Center	1.2 mi	1971	Suite	$43.17	92.9%	$500
Kestrel Tower	3.7 mi	1996	Bay	$39.98	96.1%	1 mo. free
Parkview Tower	0.8 mi	1980	Suite	$43.87	96.1%	None
Juniper Corporate Center	2.6 mi	2001	Studio	$45.52	92.9%	$500
Parkview Plaza	2.7 mi	2013	Studio	$35.71	88.6%	1 mo. free
Northgate Plaza	3.7 mi	1996	Unit	$33.72	89.4%	None
Birchwood Tower	0.6 mi	1981	Unit	$33.26	97.5%	1 mo. free
Keystone Plaza	0.8 mi	1990	1BR	$37.77	89.5%	1 mo. free
Tidewater Tower	0.9 mi	2005	Inline	$36.98	94.6%	$500
Beacon Plaza	3.2 mi	2022	2BR	$35.35	92.6%	1 mo. free
Dover Office Center	1.7 mi	2017	Suite	$34.21	88.2%	1 mo. free
Aspen Corporate Center	0.5 mi	1973	Unit	$36.31	91.4%	$500
Upland Corporate Center	0.8 mi	2010	1BR	$46.78	91.8%	$500
Gatewood Corporate Center	3.7 mi	1971	Studio	$40.05	92.4%	None
Foxglove Office Park	2.6 mi	2006	Studio	$34.73	97.1%	$500
Upland Tower	0.3 mi	1984	1BR	$35.98	86.7%	None
Hollis Corporate Center	4.4 mi	2011	Bay	$37.91	91.7%	None
Mesa Office Park	2.0 mi	1988	Inline	$35.74	87.3%	None
Northgate Corporate Center	2.5 mi	2022	Suite	$40.81	91.1%	$500
Marlow Tower	3.3 mi	1996	Unit	$42.74	92.7%	1 mo. free
Hawthorne Plaza	1.2 mi	2014	Bay	$41.52	97.5%	None
Falcon Plaza	2.1 mi	1979	Bay	$34.52	90.8%	$500

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Demographics and Employment

Rent growth in the submarket has averaged 6.1% annually over the past 5 years. The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 5.29% and 5.29%.

Floor plates are efficient and column-spacing supports open and private-office layouts. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 4.3% annually over the past 3 years. Pinecrest Office Center is located in Tempe, AZ, a market that has recorded 5.5% population growth over the last five years. Investor demand for Office assets in Tempe remains strong with recent trades at capitalization rates between 7.85% and 7.85%.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 30.30 acres and is generally level with frontage along Highland Street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 36 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Supply and Demand

Pinecrest Office Center is located in Tempe, AZ, a market that has recorded 2.3% population growth over the last five years. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 10 years and in-place rents average $39 per square foot, full service gross. The Tempe Office market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Employment growth is led by healthcare, logistics, education and professional services sectors. Weighted average lease term remaining is 5 years and in-place rents average $39 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 43 per 1,000 square feet, and a tenant lounge with fitness center. Median household income within a 9-mile radius of the property is approximately $292,000 and has grown 2.9% annually. The Tempe Office market has experienced absorption of 3200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Floor plates are efficient and column-spacing supports open and private-office layouts.

Site Description

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 41.41 acres and is generally level with frontage along Highland Street. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 28 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Pinecrest Office Center and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on October 25, 2019.

_____

Fatima Larsen, RPLS

Stone & Marsh Appraisal

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